

France's Fiscal Tightrope

Budgetary Misallocation and Market Implications

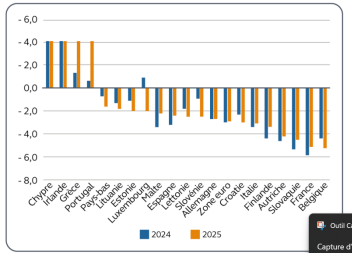
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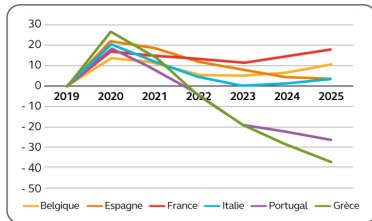
2026

The Macroeconomic Reality: A European Divergence

Graphique n° 6 : comparaisons des soldes publics de la zone euro en 2024 et 2025, en points de PIB



Graphique n° 7 : évolution depuis 2019 du ratio de dette publique dans les pays les plus endettés de la zone euro, en points de PIB



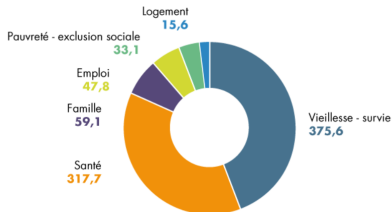
Source : Eurostat, retraitements Cour des comptes

- **Structural Deficit:** 5.1% of GDP in 2025, significantly trailing Eurozone peers.
- **Debt Trajectory:** The only heavily indebted EU state surpassing its 2020 peak.
- **Regulatory Pressure:** France placed under the Excessive Deficit Procedure (EDP) in 2024.

The Spending Anatomy: Consumption vs. Investment

SIX GRANDES CATÉGORIES DE PRESTATIONS SOCIALES

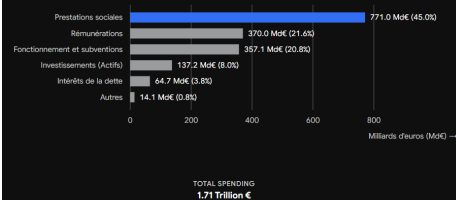
EN MILLIARDS D'EUROS, EN 2022



Source : lafinancepourtous.com d'après Drees, comptes de la protection sociale 2022 (2023)

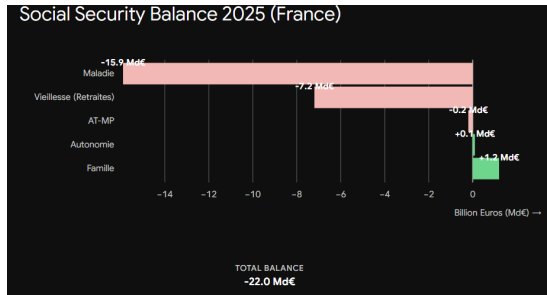


French Public Spending 2025



- **Capital Misallocation:** Productive investments account for only 8.0% of total public spending.
- **Current Expenditures:** ~87% absorbed by social transfers, payroll, and daily operations.
- **The "Bad Debt" Cycle:** Borrowing primarily finances daily consumption rather than future growth.

The Social Deficit: A Structural and Demographic Trap



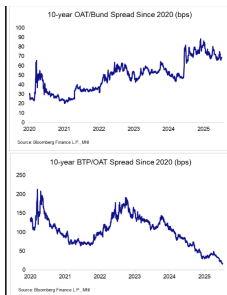
- **Concentrated Deficit:** Driven entirely by Healthcare (-15.9B€) and Pensions (-7.2B€).
- **Demographic Reversal:** The brief pension surplus of 2021 has collapsed into a structural funding requirement.
- **The Political Dilemma:** Reducing these specific demographic costs carries massive execution risks.

Corporate Subsidies and The Windfall Effect

Dispositif public ciblé	Coût budgétaire annuel total	Part estimée de l'effet d'aubaine	Économie potentielle (Impact financier)	Poids relatif dans le déficit de l'État (-154 Md€)
Allègements généraux de cotisations	~ 75 Md€	Forte (concentrée sur les salaires > 1,6 SMIC)	~ 10 à 15 Md€	~ 6 % à 10 %
Aides à l'apprentissage	~ 15 Md€	Très forte (concentrée sur les étudiants Bac+3 à Bac+5)	~ 3 à 5 Md€	~ 2 % à 3 %
Crédit d'impôt Recherche (CIR)	7,8 Md€	Modérée (optimisation par les très grands groupes)	~ 1 à 2 Md€	~ 1 %
Aides non ciblées (guichets divers)	Variable	Forte (aides perçues sans besoin réel de trésorerie)	~ 1 à 8 Md€	~ 1 % à 5 %
TOTAL ESTIMÉ	> 100 Md€	Globalement significative	15 à 30 Md€	10 % à 20 %

- **Targeted Public Policies:** Over 100B€ allocated annually to corporate subsidies and tax relief.
- **The Deadweight Loss:** Estimated at 15 to 30B€ of pure windfall effect.
- **Deficit Impact:** This capital inefficiency alone accounts for 10% to 20% of the State's total deficit.

The Market Verdict: Risk Premium and The Interest Trap

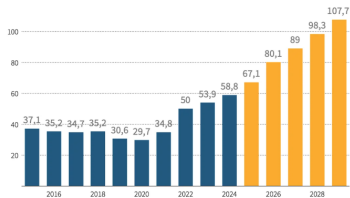


La charge de la dette pourrait dépasser 100 milliards

Montant de la charge de la dette de l'État, en milliards d'euros.

● ... Réalisé

● ... Prévision



Source: Loi de Programmation des Finances Publiques (LPPF) – Haut Conseil des Finances Publiques (HCFP)

- **Loss of 'Safe Haven' Status:** OAT/Bund spread widening; Risk convergence with Italy (BTP/OAT).
- **Pricing Inefficiency:** Markets actively apply a political risk premium to French debt.
- **The Snowball Effect:** Debt servicing costs projected to breach 100B€, crowding out investments.

The Mandatory Adjustment:

~80B€ in structural savings required to stabilize the trajectory.

Open Question

To restore balance, should France apply targeted austerity to its social and corporate models, or focus on capturing the massive shadow economy to increase revenues without raising formal taxes?